

International Business Machines Corporation

IBM | October 4, 2026

HOLD

Fair value (12-mo horizon reference)	\$223.00
Current price (October 2, 2026 close)	\$222.64
Implied upside / downside	+0%
Verdict	HOLD

Investment Thesis

IBM's investment case has always been the software mix shift: Red Hat-led hybrid cloud compounding while the mainframe prints cash. The second quarter of 2026 broke the second half of that story. IBM Z revenue fell 42% as clients deferred purchases ahead of the z17 cycle and shifted spending toward supply-constrained servers and storage; management preannounced the shortfall on July 14, and the stock suffered its worst single-day decline in 115 years as a listed company. Full-year constant-currency revenue guidance was rebased from above 5% to 4-5%.

Our judgment: the quarter was a genuine stumble, not a broken thesis. Red Hat revenue growth accelerated to 11%, data products grew 19%, distributed infrastructure grew 37% with roughly \$500 million of backlog, and -- critically -- the z17 program is tracking at nearly 130% of the comparable z16 trajectory. Mainframe demand is deferred, not destroyed. Management reiterated free-cash-flow growth of about \$1 billion for the year and operating pre-tax margin expansion of roughly 100 basis points. We haircut the second-half recovery narrative -- guidance credibility was dented and must be re-earned -- but we do not discard it.

The balance sheet carries the acquisition strategy: total debt of \$62 billion and net debt around \$54 billion after \$10.5 billion of year-to-date acquisition spending (HashiCorp, Confluent), against \$8.2 billion of cash. The \$1.69 quarterly dividend -- paid continuously since 1916 -- remains well covered by \$13 billion-plus of trailing free cash flow. At \$222.64, more than 20% below where the year began, the stock trades at a discount that already reflects the credibility damage. Our \$223.00 fair value says the market has it about right: a durable software franchise with a bruised multiple and a leveraged balance sheet. HOLD.

Business Overview

IBM, headquartered in Armonk, New York, reports in three segments. Software (\$7.8 billion of Q2 2026 revenue, up 5%) spans hybrid cloud platforms led by Red Hat (up 11%), data (up 19%), automation (up 4%), and transaction processing (down 8%) -- the last still coupled to the mainframe cycle. Consulting (\$5.3 billion, roughly flat) covers strategy, technology implementation, and intelligent operations. Infrastructure (\$3.8 billion, down 7%) houses the IBM Z mainframe franchise and distributed infrastructure (Power and storage, up 37%). Software is roughly 80% recurring with \$24.6 billion of annual recurring revenue, up 8%.

The strategic portfolio has been reshaped by acquisition: Red Hat (2019) anchored hybrid cloud, HashiCorp brought infrastructure automation, and Confluent (closed March 2026) added real-time data streaming for AI workloads. A \$5 billion Lightwell software-security initiative and a planned \$10 billion-plus quantum computing investment over five years round out the capital deployment.

Forward Outlook

The second half of 2026 is the mainframe cycle's to win or lose. The z17 ramp -- tracking well ahead of z16 at the comparable point -- should drive a sharp Infrastructure rebound and pull transaction-processing software with it, since so much of IBM's software monetization remains coupled to mainframe capacity. Our base case assumes the cycle delivers but with less vigor than management's original framing; we model software growth of 6-8% for the year, in line with the rebased guide, rather than the acceleration previously implied.

Red Hat is the durable compounder inside the conglomerate: OpenShift positioned for AI workloads, 11% growth reaccelerating, and the HashiCorp/Confluent integrations deepening the automation and data stack. Consulting's flat quarter is the soft spot -- the historical offset during software softness did not show up -- and its recovery is tied to enterprise AI-implementation demand materializing in 2027.

Deleveraging is the quiet imperative. With \$62 billion of debt, every quarter of \$3 billion-plus free cash flow that goes to debt paydown rather than new deals improves the equity risk profile. We expect management to prioritize the balance sheet over further large acquisitions, and we would view a return to big-ticket M&A; before leverage normalizes as a negative signal.

Longer term, the question is what IBM looks like when the portfolio transformation is complete: a software-led company with 80%-plus recurring revenue, a consulting arm levered to AI implementation, and a mainframe franchise managed as a high-margin annuity rather than a growth engine. That company deserves a mid-teens multiple on through-cycle earnings. Getting there requires two things we have not yet seen together: a clean mainframe cycle and a consulting recovery. The second half of 2026 is the first real test of whether both can coincide -- and our HOLD reflects genuine uncertainty about the answer, not indifference to it.

Valuation

We value IBM on a probability-weighted scenario DCF at a 9% base discount rate, the stable-franchise rate -- the software business's 80% recurring revenue and the mainframe's annuity-like installed base justify it, with the leveraged balance sheet and hardware cyclicity kept in view. The base case assumes software grows 6-8% with the z17 cycle delivering a second-half infrastructure rebound, free cash flow grows about \$1 billion for the year, and the dividend is sustained. The bear case assumes the mainframe cycle disappoints, consulting stays flat, and leverage constrains capital returns -- a genuinely adverse outcome sitting well below the current \$222.64 price. The bull case assumes Red Hat reaccelerates into the mid-teens on AI workloads and the z17 cycle exceeds the z16 trajectory. Terminal growth is capped at 2.5% on normalized mid-cycle margins, and the 25% / 50% / 25% weighted fair value equals our \$223.00 target -- the market price, which is precisely why this is a HOLD.

Key Risks

- Mainframe cycle dependence: a large share of software monetization remains coupled to IBM Z capacity; cycle disappointments cascade.
- Guidance credibility: the July preannouncement damaged management's forecasting reputation; further misses would derate the stock structurally.
- Leverage: \$62 billion of debt (\$54 billion net) after heavy acquisition spending constrains flexibility.
- Consulting stagnation: flat revenue removes the historical offset during software softness.
- Competition: hyperscalers and pure-play software vendors contest every growth segment IBM is leaning on.
- Execution on large acquisitions: HashiCorp and Confluent must deliver the growth that justified their prices.

What Would Change Our Mind

- A clean second half: z17-driven infrastructure rebound plus software growth at the high end of the 6-8% guide would restore credibility and justify a higher multiple.
- Red Hat growth sustaining above 12% on AI-workload demand.
- Visible deleveraging: net debt declining meaningfully quarter over quarter.
- Conversely, a second consecutive guidance cut, consulting revenue declining, or a large debt-funded acquisition would move us toward REDUCE.
- Dividend coverage coming under pressure would be an immediate negative reassessment trigger.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

For IBM we apply the 9% stable-franchise base rate: the software segment's ~80% recurring revenue and the mainframe installed base's annuity-like economics support it. The leveraged balance sheet and hardware cyclicalities are captured in the scenario design -- particularly the bear case -- rather than in a higher discount rate.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.